from his retirement and appointed senior advisor in the cabinet secretariat in August 1981. Soon after his appointment, he established a three-man Policy and Research Group comprising Ambassador A.K. Damodaran (IFS, Retd) and two former R&AW officers, G.S. Mishra and S.K. Chaturvedi, mainly to help him in foreign policy-related matters, especially for China. Before his retirement, Mishra was one of the Department's leading experts on China and had served in Beijing, while Chaturvedi had been head of the R&AW's economic division.

While Kao and his personal staff functioned from both the ground floor of the cabinet secretary's office block in Rashtrapati Bhavan and from Bikaner House Annexe, the activities of the Policy and Research Group were confined to Bikaner House Annexe alone. Kao used the Rashtrapati Bhavan office for official meetings, but operational work and related meetings were conducted from Bikaner House Annexe.

In Alexander's words, Kao was a member of a three-man core group dealing with national security matters. The other two members were Alexander himself and Cabinet Secretary C.R. Krishnaswamy Rao Sahib. In addition, Kao was also involved in carrying out special operations directly assigned by Indira Gandhi. One such instance was his visit to Washington DC to remove the Reagan administration's misunderstanding about her policy on Afghanistan. This visit took place sometime before the PM's state visit to the US in July 1982, and for that purpose Kao had used the good offices of his old friend George H.W. Bush (director, CIA, 1976-77, vice president of the US, 1980–84, and later the forty-first US president, from January 1989 to January 1993). [7]

The second assignment related to a visit to Beijing, facilitated by Yugoslav intelligence, to test the waters of a possible visit to China by Indira Gandhi as well as the possibility of establishing R&AW's liaison relationship with the ministry of state security (MSS), China's intelligence, security and secret police agency responsible for counter-intelligence, foreign intelligence and political security. In fact, Kao was in Beijing on 31 October 1984 when he came to know of Indira Gandhi's assassination. His hosts provided him with